APPRAISAL REPORT

Ironwood Marketplace | Boston, MA

Subject Property	Ironwood Marketplace
Address	8662 Grand Way, Boston, MA 97874
Property Rights Appraised	Fee Simple
Effective Date of Value	August 27, 2019
Market Value Conclusion	$48,380,000

Submarket Analysis

Average rent is $27 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 7.83% and 7.83%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Rent growth in the submarket has averaged 8.0% annually over the past 5 years.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The Boston Retail market has experienced absorption of 3900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 5-mile radius of the property is approximately $78,000 and has grown 3.7% annually.

Topography and Flood Zone

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 11.11 acres and is generally level with frontage along Grand Way. Access to the site is provided by 46 curb cuts and the property is served by municipal water and sanitary sewer.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 5 curb cuts and the property is served by municipal water and sanitary sewer.

Submarket Analysis

The Boston Retail market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Median household income within a 7-mile radius of the property is approximately $358,000 and has grown 5.8% annually. Average rent is $27 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Ironwood Marketplace is located in Boston, MA, a market that has recorded 8.1% population growth over the last five years. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 5.60% and 5.60%.

Ironwood Marketplace is located in Boston, MA, a market that has recorded 3.1% population growth over the last five years. Market vacancy for comparable Retail product stands at 13.5%, down from 7.2% two years ago. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Topography and Flood Zone

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 24.24 acres and is generally level with frontage along Grand Way. Access to the site is provided by 10 curb cuts and the property is served by municipal water and sanitary sewer.

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Demographics and Employment

Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 7.67% and 7.67%. Market vacancy for comparable Retail product stands at 2.3%, down from 5.4% two years ago. The Boston Retail market has experienced absorption of 2800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Ironwood Marketplace is located in Boston, MA, a market that has recorded 7.7% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

The Boston Retail market has experienced absorption of 800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Median household income within a 6-mile radius of the property is approximately $210,000 and has grown 13.2% annually. Average rent is $27 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 37 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Access to the site is provided by 38 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 7.7 acres and is generally level with frontage along Grand Way. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Supply and Demand

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Employment growth is led by healthcare, logistics, education and professional services sectors. Ironwood Marketplace is located in Boston, MA, a market that has recorded 2.7% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Median household income within a 9-mile radius of the property is approximately $381,000 and has grown 8.5% annually. Ironwood Marketplace is located in Boston, MA, a market that has recorded 5.2% population growth over the last five years.

Topography and Flood Zone

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 12.12 acres and is generally level with frontage along Grand Way. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

The site contains approximately 34.34 acres and is generally level with frontage along Grand Way. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 4 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Demographics and Employment

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Market vacancy for comparable Retail product stands at 7.2%, down from 6.7% two years ago. Ironwood Marketplace is located in Boston, MA, a market that has recorded 4.8% population growth over the last five years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 6.53% and 6.53%.

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Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. Average rent is $27 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The roof is a 23-year membrane system with an estimated remaining useful life of 5 years.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 30 stories. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Improvements Description

Common area interiors have been refreshed within the last 4 years and are in average to good condition. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. The roof is a 10-year membrane system with an estimated remaining useful life of 11 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Common area interiors have been refreshed within the last 8 years and are in average to good condition. The roof is a 30-year membrane system with an estimated remaining useful life of 7 years. Average rent is $27 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Construction Details

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $27 per square foot with parking at a ratio of 32 spaces per 1,000 square feet.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 41 stories. Mechanical systems include rooftop package units and central plant equipment of varying age.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Cobalt Town Center	Allentown, PA	07/21/2026	13	$45,724,315	$136	7.04%	1965
Vista Marketplace	Sacramento, CA	04/27/2024	8	$67,221,060	$200	6.82%	2023
Keystone Shopping Center	Greenville, SC	02/24/2024	6	$24,777,777	$74	5.93%	2018
Pelican Crossing	Orlando, FL	07/15/2025	17	$34,754,039	$103	7.31%	1978
Everett Town Center	Minneapolis, MN	10/29/2025	16	$50,769,486	$151	5.03%	2021
Bayview Crossing	Greenville, SC	06/02/2023	18	$49,241,308	$147	7.20%	1987
Harbor Square	Newark, NJ	11/20/2025	17	$41,800,791	$124	6.79%	1971
Kestrel Town Center	St. Louis, MO	04/17/2026	11	$42,962,093	$128	7.03%	1984
Newport Marketplace	Portland, OR	04/12/2026	8	$39,640,404	$118	6.75%	1981
Parkview Town Center	Omaha, NE	08/29/2024	18	$21,546,644	$64	5.71%	2007
Kestrel Town Center	Tampa, FL	07/28/2023	15	$37,613,846	$112	7.11%	1994
Whitaker Marketplace	Baltimore, MD	02/04/2023	12	$32,683,783	$97	7.57%	1990
Vista Marketplace	Milwaukee, WI	05/09/2023	17	$44,015,900	$131	7.48%	1998
Amberly Shopping Center	Naperville, IL	10/04/2022	15	$66,544,125	$198	6.14%	1976
Tidewater Town Center	Albuquerque, NM	07/18/2023	12	$28,196,439	$84	6.62%	1971
Alder Crossing	St. Louis, MO	05/02/2023	13	$57,735,555	$172	6.34%	2006
Prairie Marketplace	Richmond, VA	09/22/2022	14	$46,609,834	$139	7.05%	2008
Ironwood Town Center	Albany, NY	10/10/2023	15	$63,758,169	$190	7.19%	1985
Windmill Town Center	Louisville, KY	11/05/2025	13	$34,753,173	$103	6.95%	2013
Foxglove Shopping Center	Chicago, IL	06/05/2025	10	$64,483,902	$192	8.16%	1973
Oakmont Shopping Center	Philadelphia, PA	04/12/2023	9	$20,024,523	$60	5.29%	2020
Stonebridge Square	Savannah, GA	01/15/2025	8	$19,920,822	$59	5.08%	1986
Marlow Town Center	Detroit, MI	06/04/2024	8	$25,680,137	$76	7.30%	1984
Sterling Crossing	Baltimore, MD	05/04/2023	13	$32,519,233	$97	6.62%	1980
Copper Shopping Center	Pittsburgh, PA	05/09/2026	17	$27,460,303	$82	6.19%	2007
Willow Marketplace	Madison, WI	04/09/2024	9	$26,157,428	$78	5.19%	2012
Union Town Center	Hartford, CT	09/25/2024	14	$47,138,349	$140	7.82%	1976
Parkview Shopping Center	Portland, OR	07/24/2026	13	$20,745,028	$62	6.62%	1981
Birchwood Crossing	Savannah, GA	01/23/2024	14	$23,411,628	$70	7.79%	2022
Zephyr Square	Dallas, TX	04/04/2022	8	$35,907,096	$107	6.50%	1969
Quincy Town Center	Birmingham, AL	09/22/2025	18	$58,025,496	$173	6.21%	2002
Summit Crossing	Raleigh, NC	03/22/2023	7	$55,090,964	$164	6.13%	2003
Harbor Marketplace	Naperville, IL	07/06/2026	7	$21,034,557	$63	5.16%	2023
Sterling Crossing	Salt Lake City, UT	07/01/2022	13	$51,632,842	$154	5.17%	2020
Nautilus Shopping Center	Louisville, KY	07/02/2025	8	$27,126,264	$81	6.37%	1987
Saddlebrook Town Center	Denver, CO	11/03/2025	9	$51,801,303	$154	7.80%	2023
Riverbend Crossing	Madison, WI	12/26/2023	15	$63,909,066	$190	6.43%	1970
Canyon Shopping Center	Salt Lake City, UT	06/06/2024	11	$37,780,631	$112	7.91%	1968
Granite Shopping Center	San Antonio, TX	04/09/2024	6	$42,143,336	$125	5.02%	2021
Pinecrest Crossing	Denver, CO	07/22/2024	10	$59,728,254	$178	5.16%	1969
Mesa Marketplace	Denver, CO	08/18/2026	12	$31,850,643	$95	6.11%	2023
Willow Marketplace	Savannah, GA	09/17/2025	10	$55,604,361	$165	5.22%	2022
Falcon Town Center	Buffalo, NY	04/09/2025	7	$45,903,062	$137	5.83%	2008

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Income and Expense Review

Operating expenses totaled $73,000 or approximately 36.17 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Average rent is $27 per square foot with parking at a ratio of 11 spaces per 1,000 square feet. Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $325,000, representing a 7.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 6.28x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $223,000, representing a 11.1% increase over the prior year.

Operating Performance

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Debt service coverage ratio was 7.34x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.68% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.85x on a trailing basis against a covenant minimum of 1.20x.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 14 spaces per 1,000 square feet. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Operating expenses totaled $214,000 or approximately 39.60 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.67x on a trailing basis against a covenant minimum of 1.20x.

Average rent is $27 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $20,000 or approximately 13.34 per square foot, with real estate taxes representing the largest line item.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Kingsley Shopping Center	3.6 mi	2000	Studio	$26.20	86.6%	$500
Sable Town Center	3.7 mi	2005	Unit	$26.04	96.2%	1 mo. free
Redwood Square	0.2 mi	1972	Bay	$28.52	86.5%	$500
Magnolia Marketplace	2.6 mi	1979	Studio	$27.67	97.3%	None
Jasper Town Center	2.2 mi	1986	1BR	$26.51	89.4%	None
Kestrel Crossing	0.5 mi	1992	Bay	$26.57	95.3%	$500
Magnolia Shopping Center	4.1 mi	2017	Inline	$28.25	97.9%	1 mo. free
Lakeshore Square	0.5 mi	1995	Bay	$30.91	96.6%	None
Heritage Square	1.4 mi	2019	2BR	$31.49	96.3%	$500
Oakmont Marketplace	2.3 mi	1979	Studio	$24.21	88.5%	$500
Union Marketplace	0.5 mi	2019	Suite	$25.92	97.6%	$500
Cobalt Town Center	3.2 mi	2019	Unit	$24.41	90.1%	$500
Hawthorne Shopping Center	1.3 mi	1984	Unit	$25.22	91.5%	1 mo. free
Sterling Shopping Center	3.4 mi	2010	1BR	$27.70	92.1%	$500
Highland Shopping Center	2.3 mi	2023	1BR	$28.65	93.8%	$500
Ironwood Square	4.3 mi	2005	1BR	$29.30	92.5%	$500
Timberline Town Center	2.8 mi	2022	1BR	$24.64	86.6%	1 mo. free
Zephyr Square	2.7 mi	2004	Unit	$29.74	91.6%	None
Lakeshore Shopping Center	4.2 mi	2003	2BR	$29.61	87.6%	None
Pinecrest Marketplace	2.3 mi	1989	Studio	$23.04	86.1%	$500
Cedar Marketplace	2.6 mi	2000	Inline	$25.49	94.9%	1 mo. free
Pinecrest Town Center	4.5 mi	1998	Suite	$27.34	96.7%	1 mo. free
Calloway Town Center	2.4 mi	1970	Suite	$23.35	92.2%	$500
Thornton Town Center	4.1 mi	2003	Bay	$31.11	95.2%	$500
Verde Town Center	1.3 mi	1987	Unit	$26.44	88.5%	$500
Union Shopping Center	1.9 mi	1995	Studio	$26.82	93.6%	None
Gatewood Marketplace	2.6 mi	1999	Unit	$26.41	92.1%	1 mo. free
Orchard Crossing	4.0 mi	2000	Bay	$27.92	96.0%	None
Ivy Marketplace	2.1 mi	2015	Bay	$26.54	91.6%	None
Mesa Town Center	3.9 mi	1993	1BR	$31.11	86.9%	$500
Timberline Shopping Center	4.6 mi	2008	Unit	$28.69	93.2%	1 mo. free
Yarrow Shopping Center	0.5 mi	1999	2BR	$26.31	94.5%	None
Gatewood Marketplace	3.3 mi	1980	Unit	$30.03	94.5%	1 mo. free
Redwood Shopping Center	2.2 mi	1978	Inline	$30.04	96.8%	None
Mesa Marketplace	0.6 mi	2003	1BR	$32.28	96.7%	1 mo. free
Juniper Marketplace	3.9 mi	2020	1BR	$25.44	95.5%	None
Windmill Square	4.2 mi	1985	1BR	$27.76	90.9%	$500
Timberline Marketplace	4.1 mi	2002	Studio	$29.56	94.2%	None
Brookside Shopping Center	1.2 mi	1978	Studio	$25.27	87.3%	None
Garnet Square	3.3 mi	1971	2BR	$25.11	86.2%	None
Marlow Town Center	3.1 mi	2002	2BR	$28.91	91.5%	$500
Driftwood Town Center	4.5 mi	2000	Studio	$22.99	87.4%	1 mo. free

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Market Overview

Median household income within a 2-mile radius of the property is approximately $39,000 and has grown 6.5% annually. Average rent is $27 per square foot with parking at a ratio of 14 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The Boston Retail market has experienced absorption of 2700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Ironwood Marketplace is located in Boston, MA, a market that has recorded 12.8% population growth over the last five years. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 46 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Retail product stands at 12.9%, down from 3.0% two years ago.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 15.15 acres and is generally level with frontage along Grand Way. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 36 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Market Overview

Ironwood Marketplace is located in Boston, MA, a market that has recorded 8.0% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Rent growth in the submarket has averaged 4.6% annually over the past 11 years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Rent growth in the submarket has averaged 7.9% annually over the past 5 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 8.14% and 8.14%. Average rent is $27 per square foot with parking at a ratio of 18 spaces per 1,000 square feet. Median household income within a 6-mile radius of the property is approximately $47,000 and has grown 4.6% annually.

Site Description

Access to the site is provided by 28 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 42.42 acres and is generally level with frontage along Grand Way. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 28.28 acres and is generally level with frontage along Grand Way. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Submarket Analysis

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The Boston Retail market has experienced absorption of 2800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Retail product stands at 6.0%, down from 4.7% two years ago.

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Improvements Description

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The roof is a 24-year membrane system with an estimated remaining useful life of 7 years. Average rent is $27 per square foot with parking at a ratio of 2 spaces per 1,000 square feet. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 38 stories.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The roof is a 6-year membrane system with an estimated remaining useful life of 5 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 12 stories.

Improvements Description

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 7 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Mechanical systems include rooftop package units and central plant equipment of varying age. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 38 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Average rent is $27 per square foot with parking at a ratio of 28 spaces per 1,000 square feet.

Construction Details

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 14 stories. The roof is a 14-year membrane system with an estimated remaining useful life of 12 years.

Average rent is $27 per square foot with parking at a ratio of 37 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 41-year membrane system with an estimated remaining useful life of 10 years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Ashford Shopping Center	Denver, CO	11/26/2022	7	$22,475,497	$67	6.77%	1973
Quincy Marketplace	Charlotte, NC	09/05/2023	10	$20,625,110	$61	7.36%	1999
Juniper Town Center	Orlando, FL	05/04/2025	7	$63,784,997	$190	7.39%	1969
Cobalt Town Center	Philadelphia, PA	05/19/2022	17	$61,712,265	$184	6.49%	2008
Everett Crossing	Albuquerque, NM	12/27/2022	15	$56,419,476	$168	7.08%	1981
Hollis Town Center	Boise, ID	04/01/2026	11	$64,152,378	$191	6.16%	1970
Ashford Square	Orlando, FL	04/30/2025	10	$60,998,396	$182	5.29%	2002
Crestline Crossing	Tempe, AZ	08/23/2026	18	$30,730,652	$91	6.37%	1969
Windmill Shopping Center	Denver, CO	06/27/2024	16	$40,113,312	$119	8.18%	2023
Raven Square	Portland, OR	01/15/2023	8	$28,848,499	$86	7.54%	1985
Aspen Marketplace	Portland, OR	12/23/2024	17	$30,540,406	$91	6.47%	2018
Glenview Shopping Center	Tempe, AZ	12/06/2022	12	$47,772,614	$142	6.31%	1985
Dover Shopping Center	Madison, WI	09/18/2023	12	$44,191,869	$132	5.56%	1965
Cedar Square	Kansas City, MO	03/23/2022	8	$60,307,977	$179	6.20%	1965
Heritage Shopping Center	Memphis, TN	11/02/2025	13	$56,189,714	$167	6.67%	2009
Aspen Square	Columbus, OH	01/28/2022	11	$47,502,984	$141	5.49%	1995
Parkview Marketplace	Pittsburgh, PA	06/21/2025	6	$25,266,285	$75	6.89%	1978
Maple Marketplace	Milwaukee, WI	03/14/2025	12	$40,423,131	$120	5.14%	2010
Fairmont Shopping Center	San Antonio, TX	08/15/2024	7	$22,598,720	$67	5.45%	1986
Glenview Town Center	Allentown, PA	11/26/2023	7	$37,975,335	$113	7.92%	2015
Highland Marketplace	Norfolk, VA	06/23/2022	8	$32,314,981	$96	7.04%	1978
Driftwood Town Center	Portland, OR	06/22/2024	8	$55,001,094	$164	7.04%	1989
Dunmore Marketplace	Cleveland, OH	12/15/2025	18	$65,236,159	$194	6.43%	2016
Hawthorne Town Center	Indianapolis, IN	12/14/2025	7	$24,287,341	$72	5.57%	1982
Heritage Square	Richmond, VA	11/05/2025	13	$63,510,299	$189	5.40%	2004
Birchwood Square	Grand Rapids, MI	02/26/2025	14	$37,788,168	$112	7.19%	2006
Birchwood Square	Houston, TX	12/03/2023	8	$38,759,426	$115	5.91%	1982
Vista Marketplace	Portland, OR	07/13/2023	17	$26,790,823	$80	5.47%	2016
Jasper Marketplace	Columbus, OH	03/01/2025	16	$61,756,262	$184	6.28%	1976
Tidewater Square	Austin, TX	10/12/2025	10	$65,261,200	$194	6.74%	2010
Beacon Crossing	Columbus, OH	09/30/2024	9	$66,358,553	$197	5.36%	1993
Hawthorne Crossing	Kansas City, MO	03/13/2022	14	$57,441,555	$171	5.84%	1973
Driftwood Shopping Center	Sacramento, CA	07/23/2024	13	$26,136,349	$78	5.87%	1975
Beacon Shopping Center	Richmond, VA	09/04/2024	7	$30,271,271	$90	6.29%	1984
Pinecrest Square	Norfolk, VA	12/10/2024	14	$40,645,862	$121	7.08%	2020
Brookside Square	Albany, NY	01/13/2024	7	$20,516,612	$61	7.32%	2009
Kingsley Crossing	Allentown, PA	01/17/2025	10	$42,485,780	$126	6.93%	1989
Wexford Crossing	Minneapolis, MN	03/17/2023	13	$45,539,237	$136	5.88%	1968
Pinecrest Shopping Center	Allentown, PA	10/19/2025	7	$58,380,397	$174	5.01%	2003
Dunmore Shopping Center	Omaha, NE	06/14/2025	15	$29,173,724	$87	6.16%	1976

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Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $240,000 or approximately 29.10 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $37,000, representing a 10.7% increase over the prior year. The going-in capitalization rate of 8.16% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $213,000 or approximately 24.10 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Effective gross income for the trailing period was $471,000, representing a 7.8% increase over the prior year.

Income and Expense Review

Effective gross income for the trailing period was $109,000, representing a 13.1% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period.

Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 6.75% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $95,000, representing a 11.0% increase over the prior year.

Operating Performance

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 5.66x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $476,000 or approximately 29.05 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. The going-in capitalization rate of 5.39% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $310,000, representing a 3.2% increase over the prior year.

Operating expenses totaled $87,000 or approximately 11.90 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.46x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $165,000, representing a 3.1% increase over the prior year. Average rent is $27 per square foot with parking at a ratio of 18 spaces per 1,000 square feet.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Redwood Crossing	1.9 mi	2015	Studio	$24.80	92.2%	1 mo. free
Ashford Shopping Center	3.3 mi	2009	Bay	$31.00	94.6%	None
Quarry Town Center	1.5 mi	2018	Inline	$25.42	86.9%	None
Parkview Shopping Center	1.1 mi	2015	Studio	$31.17	90.0%	$500
Prairie Shopping Center	4.2 mi	2001	Unit	$32.06	94.3%	None
Sterling Crossing	0.2 mi	2023	2BR	$24.65	95.5%	$500
Ashford Marketplace	4.6 mi	2000	1BR	$26.70	86.5%	None
Cobalt Town Center	4.4 mi	1980	1BR	$23.41	91.8%	None
Beacon Shopping Center	0.2 mi	1987	Bay	$24.30	87.6%	1 mo. free
Falcon Square	3.9 mi	2011	Unit	$29.70	93.7%	None
Windmill Marketplace	4.6 mi	2011	2BR	$31.30	90.3%	None
Ridgeline Marketplace	1.2 mi	1988	Studio	$23.69	93.1%	None
Cobalt Crossing	2.3 mi	1995	1BR	$31.49	88.7%	1 mo. free
Heritage Square	1.9 mi	1971	Unit	$32.05	91.0%	1 mo. free
Heritage Shopping Center	3.3 mi	2000	Studio	$31.87	91.5%	$500
Timberline Square	3.1 mi	1996	2BR	$26.75	91.6%	None
Ashford Marketplace	3.4 mi	1975	Unit	$25.90	91.1%	None
Pelican Square	3.5 mi	1972	Inline	$28.83	89.8%	None
Lakeshore Town Center	2.8 mi	1997	Bay	$23.04	96.8%	None
Zephyr Town Center	4.2 mi	1984	Suite	$23.81	88.7%	None
Zephyr Marketplace	2.5 mi	1997	Suite	$28.20	92.8%	None
Prairie Marketplace	1.5 mi	2000	Unit	$30.36	95.2%	None
Newport Square	2.7 mi	2014	1BR	$28.28	86.1%	None
Meridian Crossing	3.6 mi	2010	Suite	$26.79	90.7%	None
Raven Town Center	3.3 mi	1976	Bay	$27.40	95.9%	None
Aspen Square	2.1 mi	1986	Suite	$28.43	92.9%	None
Ashford Marketplace	3.0 mi	2020	Studio	$29.19	90.1%	$500
Gatewood Square	1.1 mi	1975	2BR	$28.32	91.0%	$500
Newport Crossing	4.6 mi	1978	Unit	$26.65	96.5%	None
Prairie Square	3.5 mi	2006	Studio	$32.17	88.2%	None
Crestline Square	2.8 mi	1977	Studio	$26.36	93.2%	None
Driftwood Shopping Center	4.2 mi	2007	Bay	$23.75	95.8%	1 mo. free
Gatewood Town Center	4.5 mi	2021	2BR	$27.85	94.2%	None
Aspen Crossing	3.2 mi	1998	Studio	$23.44	93.0%	1 mo. free
Vista Crossing	0.4 mi	2007	1BR	$29.95	92.8%	$500
Lantern Crossing	2.9 mi	1982	Inline	$30.12	94.3%	$500
Crestline Shopping Center	0.8 mi	1992	Inline	$27.07	93.5%	$500
Juniper Crossing	3.1 mi	1983	Unit	$24.86	93.1%	None
Falcon Square	5.0 mi	2009	Suite	$25.95	88.0%	None
Oakmont Square	3.6 mi	2004	Suite	$24.09	90.5%	None
Summit Town Center	4.3 mi	2021	Bay	$30.78	91.5%	None
Pinecrest Crossing	2.8 mi	1997	2BR	$28.46	90.8%	1 mo. free
Oakmont Square	4.5 mi	2018	Studio	$24.99	95.1%	None

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Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Retail product stands at 10.3%, down from 6.0% two years ago. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 5.60% and 5.60%. Median household income within a 5-mile radius of the property is approximately $34,000 and has grown 11.0% annually.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Ironwood Marketplace is located in Boston, MA, a market that has recorded 3.4% population growth over the last five years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Market vacancy for comparable Retail product stands at 11.0%, down from 3.6% two years ago. Rent growth in the submarket has averaged 5.2% annually over the past 8 years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 20.20 acres and is generally level with frontage along Grand Way. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Access to the site is provided by 32 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 31.31 acres and is generally level with frontage along Grand Way. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Submarket Analysis

Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 5.87% and 5.87%. Rent growth in the submarket has averaged 4.7% annually over the past 9 years. Average rent is $27 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Ironwood Marketplace is located in Boston, MA, a market that has recorded 4.0% population growth over the last five years. Market vacancy for comparable Retail product stands at 10.8%, down from 4.4% two years ago. Median household income within a 5-mile radius of the property is approximately $55,000 and has grown 13.3% annually.

Average rent is $27 per square foot with parking at a ratio of 12 spaces per 1,000 square feet. Ironwood Marketplace is located in Boston, MA, a market that has recorded 4.0% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Access and Utilities

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 41.41 acres and is generally level with frontage along Grand Way. Access to the site is provided by 10 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 19.19 acres and is generally level with frontage along Grand Way. Access to the site is provided by 12 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Market Overview

Market vacancy for comparable Retail product stands at 3.9%, down from 3.8% two years ago. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 6.21% and 6.21%. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The Boston Retail market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

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Improvements Description

Mechanical systems include rooftop package units and central plant equipment of varying age. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 32 stories. Average rent is $27 per square foot with parking at a ratio of 25 spaces per 1,000 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Mechanical systems include rooftop package units and central plant equipment of varying age. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Building Systems

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 23 stories. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 39 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Building Systems

Average rent is $27 per square foot with parking at a ratio of 4 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Common area interiors have been refreshed within the last 4 years and are in average to good condition.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Mechanical systems include rooftop package units and central plant equipment of varying age. Average rent is $27 per square foot with parking at a ratio of 29 spaces per 1,000 square feet. Common area interiors have been refreshed within the last 7 years and are in average to good condition.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Ironwood Marketplace and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on August 15, 2019.

_____

Natalie Evans, CPG

Meridian Valuation Advisors

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